

Turn Exchange: Lawful Options

How a member can be given a real reason to give up an earlier turn without any member paying another.

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1. Why a turn cannot simply be sold

A member who pays another member to collect earlier is paying for the use of money over time. That makes one member a lender and the other a borrower, which is the activity the peer to peer chapter of the NBFC Regulations 2008 governs, and a price that rises with the months gained reads as interest. Halqa therefore removed the sale of turns on 22 September 2026. The question is how to give a member a real reason to give up an earlier seat without either member paying the other.

“‘Peer to Peer Lending’ or ‘P2P Lending’ shall mean the extension of loans by the lender to the borrower through the P2P Lending Platform whereas the Platform would be an intermediary providing P2P services through online medium or otherwise to the participants who have entered into an arrangement with that platform to lend or to borrow money”

NBFC and Notified Entities Regulations 2008, peer to peer chapter, S.R.O. 436(I)/2022, as reported by Business Recorder on 29 March 2022

2. Three lawful routes

Route	How it works	Why it is lawful
A. Swap with a reward from Halqa	Two members exchange seats. The member moving later receives fee waivers and points from Halqa, sized by how many seats they move. The member moving earlier pays Halqa a flat swap fee, the same for any swap.	No money passes between members. Halqa's fee is flat, so it is not a price for time; the reward is Halqa's own promotional cost, published in advance and not linked to the fee the other member paid.
B. Early money from a licensed lender	A member who needs money before their seat takes an advance from a licensed microfinance bank or finance company against their future pot. The pot repays the lender on the member's own day.	Only a licensed lender charges for time, under its own licence. Halqa introduces the member and the lender and holds nothing.
C. Earned early seats	Members with a clean record choose early seats first when a circle forms.	No payment at all. Reliability, not money, buys the early seat.

3. Route A in numbers

Circle of 12 members at Rs 10,000 a month. A member at seat 2 swaps with a member at seat 10, so the first member collects 8 months later.

Item	Amount
What waiting costs the member moving later, at 1 per cent a month on a Rs 120,000 pot	Rs 9,600
Their remaining 10 fees of Rs 500, waived by Halqa	Rs 5,000
Points with Daraz, foodpanda or Careem, issued by Halqa	Rs 1,500
Total reward, from Halqa's revenue	Rs 6,500
Flat swap fee paid to Halqa by the member moving earlier	Rs 500
Net cost to Halqa of the swap	Rs 6,000

- The reward covers 68% of the cost of waiting in this example. It will not always persuade a member who needs the money early, which is what route B is for.
- The reward schedule depends only on seats moved and the circle's size, and is the same for every member.
- Both members must consent, the host approves, and both score bands must permit the new seats.

4. What stays prohibited

- Any payment from one member to another for a seat, in money or in anything redeemable for money.
- A fee to Halqa that rises with the number of seats or months moved.
- Bids, auctions and a cut of any premium.

5. To confirm before launch

- Counsel's written view that route A, a flat fee and an independently published reward, is not a disguised price for time.
- For route B, a lender partner, for example Mobilink Microfinance Bank, FINCA Microfinance Bank or U Microfinance Bank, and counsel's view on arranging credit, the same question as for asset committees.

Summary in plain words

Members still cannot pay each other for a turn. Instead, the member who agrees to wait gets fee waivers and shopping points from Halqa, and the member who moves earlier pays Halqa a small flat fee. A member who needs money urgently can borrow it from a licensed bank against their future pot. Members with a clean record simply get first pick of early seats.